



INTERIM FINANCIAL STATEMENTS

31 MARCH 2021



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 March

		Three Months Ended 31 March 2021 Unaudited	Three Months Ended 31 March 2020 Unaudited
	Note	Rs	Rs
Revenue		827,815,502	407,479,618
Gross written premium	3	786,649,069	341,110,296
Premium ceded to reinsurers	3	(36,169,821)	(10,455,524)
Net written premium		750,479,248	330,654,772
Other revenue			
Fee and commission income	3	11,840,702	7,629,446
Income from investments	5	63,675,706	67,772,799
Other income	3	1,819,845	1,422,601
Total other revenue		77,336,254	76,824,846
Net income		827,815,502	407,479,618
Net insurance benefits and claims paid		(162,127,091)	(58,478,946)
Net change in insurance claims outstanding		(18,741,391)	(4,798,748)
Underwriting and net acquisition costs		(351,706,151)	(152,808,114)
Change in contract liabilities - life fund		(177,006,308)	(86,090,612)
Other operating and administrative expenses		(101,365,099)	(83,657,476)
Net benefits and claims		(810,946,040)	(385,833,897)
Profit/(Loss) before tax		16,869,461	21,645,721
Income tax expense		-	-
Profit/(Loss) for the period		16,869,461	21,645,721

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

		Three Months Ended 31 March 2021 Unaudited	Three Months Ended 31 March 2020 Unaudited
	Notes	Rs	Rs
Profit / (Loss) for the year		16,869,461	21,645,721
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		845,355	8,079,676
Fair value movement of AFS reserve transferred to life fund		(845,355)	(8,079,676)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		16,869,461	21,645,721

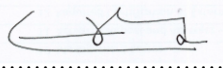
Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 March 2021

	Notes	31-Mar-21 Unaudited Rs.	31-Dec-20 Audited Rs.
Assets			
Property, plant and equipment		63,218,920	59,060,218
Right of use asset	7	135,169,565	137,336,422
Intangible asset		347,406	413,031
Financial assets	8	3,009,268,615	2,682,476,453
Loans to life policy holders		436,131,426	389,694,263
Reinsurance receivable		19,591,575	7,170,414
Amounts due from related party		21,879,923	6,448,559
Premium receivable		27,519,541	30,808,289
Other assets		62,347,869	55,874,975
Deferred tax asset		137,659,910	137,659,910
Cash and cash equivalents		479,309,839	668,548,269
Total assets		4,392,444,589	4,175,490,803
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		1,202,113,521	1,185,244,060
Total shareholders' equity		1,877,678,391	1,860,808,930
Liabilities			
Insurance provision - life	9	2,070,367,010	1,904,914,000
Employee benefit obligation		14,503,981	14,743,508
Reinsurance creditors		106,996,552	85,918,646
Lease creditors		153,319,863	155,319,117
Amounts due to related party	11	3,889,064	16,573,459
Financial liabilities		93,856,665	79,190,658
Other liabilities		71,833,063	58,022,486
Total liabilities		2,514,766,198	2,314,681,874
Total liabilities and shareholders' equity		4,392,444,589	4,175,490,803

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.

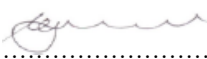


 Manager-Finance
 (Chathumadu Abeyakoon)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (Viville Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

13/05/2021
 Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW For the Three Months Ended 31 March

	Notes	2021 Rs.	2020 Rs.
Operating activities			
Receipts from policyholders		789,937,817	352,323,306
Payment to reinsurer		(15,091,916)	(14,760,690)
Claims paid		(186,975,083)	(82,774,144)
Reinsurance receipts in respect of claims		-	14,760,690
Other operating cash payments		(446,158,386)	(219,457,409)
Cash inflow from operating activities		141,712,432	50,091,753
Tax paid		-	(129,852)
Net cash flows from operating activities		141,712,432	49,961,900
Investing activities			
Purchase of property and equipment		(4,158,702)	(5,786,804)
Purchase of intangible asset		-	-
Disposal of property plant and equipment		-	-
Net drawdown of investments		(326,792,161)	437,987,670
Net cash flows used in investing activities		(330,950,863)	432,200,866
Financing activities			
Proceeds from share issue		-	-
Stamp duty on share allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		(189,238,431)	482,162,766
Cash and cash equivalents at 1 January		668,548,269	295,514,820
Cash and cash equivalents at 31 March		479,309,838	777,677,587
Analysis of cash and cash equivalents			
Favourable balances			
Cash at hand		568,025	534,571
Cash at bank		478,741,814	777,143,016
Short term investments		-	-
		479,309,839	777,677,587
Unfavourable balances			
Bank overdrafts		-	-
Total cash and cash equivalents		479,309,839	777,677,587

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Three Months Ended 31 March

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31 December 2019	675,564,870	-	984,881,758	1,660,446,628
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	200,362,302	200,362,302
Audited balance as at 31 December 2020	675,564,870	-	1,185,244,060	1,860,808,930
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	16,869,461	16,869,461
Dividend declared	-	-	-	-
Unaudited balance as at 31 March 2021	675,564,870	-	1,202,113,521	1,877,678,391

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these condensed interim financial statements for the period ended 31st March 2021 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2020 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Three Months Ended 31 March Unaudited 2021 Rs	Three Months Ended 31 March Unaudited 2020 Rs	Twelve Months Ended 31 December Audited 2020 Rs
3. REVENUE				
	Notes			
Gross written premium	4(a)	786,649,069	341,110,296	1,836,100,261
Premium ceded to reinsurers	4(b)	(36,169,821)	(10,455,524)	(91,424,657)
Net written premium		750,479,248	330,654,772	1,744,675,604
Fees and commission income		11,840,702	7,629,446	34,222,629
Investment income		63,675,706	67,772,799	253,389,343
Other operating revenue		1,819,845	1,422,601	9,039,175
Total revenue		827,815,502	407,479,618	296,651,147
4. NET WRITTEN PREMIUMS				
4(a) Gross premiums on insurance contracts				
		Three Months Ended 31 March Audited 2020 Rs	Three Months Ended 31 March Unaudited 2020 Rs	Twelve Months Ended 31 December Audited 2020 Rs
Conventional policies		786,649,069	341,110,296	1,836,100,261
Total gross written premiums		786,649,069	341,110,296	1,836,100,261
4 (b). Premiums ceded to reinsurers on insurance contracts				
		Three Months Ended 31 March Unaudited 2021 Rs	Three Months Ended 31 March Unaudited 2020 Rs	Twelve Months Ended 31 December Audited 2020 Rs
Conventional policies		(36,169,821)	(10,455,524)	(91,424,657)
Total premiums ceded to reinsurers		(36,169,821)	(10,455,524)	(91,424,657)
Total net written premiums		750,479,248	330,654,772	1,541,548,623
5. INVESTMENT INCOME				
		Three Months Ended 31 March Unaudited 2021 Rs	Three Months Ended 31 March Unaudited 2020 Rs	Twelve Months Ended 31 December Audited 2020 Rs
Available-for-sale financial assets				
Interest income		14,674,884	16,303,945	58,742,118
Loans and receivables interest income		49,000,822	51,468,853	194,647,224
Total investment income		63,675,706	67,772,799	253,389,343

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three Months Ended 31 March Unaudited 2021 Rs	Three Months Ended 31 March Unaudited 2020 Rs
Profit /(Loss) for the Period	16,869,461	21,645,721
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.25	0.32

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	31-Mar-21 Unaudited Rs	31-Mar-20 Unaudited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st January	137,336,423	121,344,203
Additions of right of use lease asset during the period	7,635,022	-
Provision For Depreciation-Lease	(13,157,814)	(4,258,548)
Advance payment for leases	3,355,934	(1,185,042)
Closing right of use lease asset as at 31st March	135,169,565	115,900,613
7.2 Lease liability (lease creditor)		
Opening lease creditor as at 01st January	155,319,117	134,193,091
Additions during the period	(1,999,254)	(1,194,305)
Closing lease creditors as at 31st March	153,319,863	132,998,786

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Mar-21 Unaudited Rs	31-Mar-20 Unaudited Rs
Loans and receivables	2,649,166,186	1,609,675,713
Available-for-sale financial assets	360,102,429	329,285,517
Total financial instruments	3,009,268,615	1,938,961,230

The following table consists of the fair values of the financial investments together with their carrying values.

		31-Mar-21 Carrying value Unaudited Rs	31-Mar-21 Fair value Unaudited Rs	31-Mar-20 Carrying value Unaudited Rs	31-Mar-20 Fair value Unaudited Rs
Loans and receivables	8 (a).	2,649,166,186	2,649,166,186	1,609,675,713	1,609,675,713
Available-for-sale financial assets	8 (b).	360,102,429	360,102,429	329,285,517	329,285,517
Total financial instruments		3,009,268,615	3,009,268,615	1,938,961,230	1,938,961,230
8 (a). Loans and receivables					
Investment in corporate debt				796,789,586	863,128,742
Investment in fixed deposit				345,166,611	425,987,900
Investment in repos				1,407,209,989	360,559,071
Investment in RPF debt instrument				100,000,000	-
				2,649,166,186	1,649,675,713
Provision for impairment				-	(40,000,000)
				2,649,166,186	1,609,675,713
8 (b). Available for sale financial assets					
Investments in government securities				360,102,429	329,285,517
				360,102,429	329,285,517

9. INSURANCE CONTRACT LIABILITIES		31-Mar-21 Unaudited Rs	31-Dec-20 Audited Rs
Balance as at beginning		1,904,914,000	1,562,743,597
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	177,006,308	495,077,702
Surplus transferred from share holders		-	(199,037,030)
Increase in life insurance fund		177,006,308	296,040,672
Movement in AFS reserve transferred to life fund		(11,553,298)	46,129,731
Balance as at end of the period		2,070,367,010	1,904,914,000

9 (a) Increase in life insurance fund before surplus transfer

2021 March (Unaudited)			
	Gross Insurance Contract Liabilities	Reinsurance on Insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	786,649,069	(36,169,821)	750,479,248
Liabilities paid for death, benefits and claims	(193,289,644)	12,421,162	(180,868,482)
Underwriting and net acquisition costs	(351,706,151)		(351,706,151)
Fees (deducted)/received	13,660,548		13,660,548
Investment return	46,805,045		46,805,045
Other operating and administrative expenses	(101,363,899)		(101,363,899)
As at 31 March 2021	200,754,968	(23,748,660)	177,006,308

2020 December (Audited)			
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,836,100,260.01	(91,424,656)	1,744,675,604
Liabilities paid for death, benefits and claims	(452,716,671.50)	49,707,636	(403,009,035)
Underwriting and net acquisition costs	(684,711,111.19)		(684,711,111)
Fees (deducted)/received	43,261,804.95		43,261,805
Investment return	174,135,196.46		174,135,196
Other operating and administrative expenses	(379,274,756.67)		(379,274,757)
As at 31 December 2020	536,794,722	(41,717,020)	495,077,702

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2020 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31st December, 2020 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultant M/S Actuarial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28%

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 137 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-21 Unaudited Rs	31-Dec-20 Audited Rs
Richard Pieris Distributors Limited	Fellow subsidiary	2,245,838	1,929,500
Arpitech (Pvt) Ltd	Fellow subsidiary	187,218	187,218
Arpico Interiors (Pvt) Ltd	Fellow subsidiary	1,456,008	642,212
Richard Pieris Company PLC	Ultimate parent	-	13,814,529
		3,889,064	16,573,459

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st March 2021 ,end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Three months Ended 31 March

Share Information

Top 20 Shareholders

<u>Name of the Shareholder</u>	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	1,776,134	2.68
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	550,000	0.83
7 MRS.M.P.B.FERNANDO	425,000	0.64
8 MYLAND DEVELOPMENTS (PVT) LTD	398,617	0.60
9 MR.B.A.R.DISSANAYAKE	200,000	0.30
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
11 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	155,326	0.23
12 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
13 MR.T.A.N.GOMIS	130,732	0.20
14 MR.H.V.SENAWEERA	130,372	0.20
15 MR.M.L.A.BENEDICT	115,234	0.17
16 MR.S.A.OBEYESEKERE	103,300	0.16
17 FLYBRUNEI SDN BHD	99,700	0.15
18 MR.P.B.PERERA	83,544	0.13
19 PEOPLES LEASING & FINANCE PLC/MR.K.LAVEENDRAKUMAR	79,459	0.12
20 MR.H.A.S.MADANAYAKE	78,300	0.12
	<u>64,944,120</u>	<u>98.06</u>

Public shareholding

	As at 31st March 2021	
	No. of Shares	% on Issued Shares
Number of shares	<u>6,616,424.28</u>	<u>10.01</u>
Float adjusted market capitalization		142,253,122
	No. of Shares	% on Issued Shares
Number of shareholders	<u>601</u>	<u>99.19</u>

Directors' shareholdings

There is no share holding by the directors as at 31st March 2021

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 31st March 2021	28.4
Highest price per share for the interim period	22.6
Lowest price per share for the interim period	21.8
Last traded price per share as at 31st March 2021	22.3